

The Global South

The WTO and Deglobalization

Walden Bello

[...]

How would you summarize your own critique of the WTO?

The WTO is an opaque, unrepresentative and undemocratic organization driven by a free-trade ideology which, wherever its recipes – liberalization, privatization, deregulation – have been applied over the past twenty years to re-engineer Third World economies, has generated only greater poverty and inequality. That's the first point: implementation of neoliberal dogmas leads to great suffering. Secondly, the WTO is not an independent body but a representative of American state and corporate interests. Its development has been closely linked to the changing needs of the United States, which has moved from supporting a weak GATT to promoting a muscular WTO as a nominally multilateral order with strong enforcement rules. Neither the EU nor Japan were particular partisans of the WTO when it was founded, at the behest of the Clinton administration. The American state is very flexible in how it pursues its ends – it can be multilateral when it wants to, and unilateral at the same time. The Achilles' heel of the WTO is its secretive, undemocratic, oligarchic decision-making structure. This is where we should take aim.

What would you propose as a positive alternative to the WTO regime?

What we call for is deglobalization – hopefully, the term won't contribute to the confusion; I still think it's a useful one. If you have a centralized institution imposing a one-size-fits-all model across the globe, it eliminates the space for developing

Original publication details: Walden Bello, from "The Global South," in *A Movement of Movements: Is Another World Really Possible?* ed. Tom Merres, Verso, 2004, pp. 59–65. Reprinted by permission of Verso.

The Globalization Reader, Fourth Edition. Edited by Frank J. Lechner and John Boli.
Editorial material and organization © 2012 John Wiley & Sons, Ltd.
Published 2012 by John Wiley & Sons, Ltd.

countries to determine their economic strategies themselves. The use of trade policy for industrialization is now banned by the WTO. Yet if you look at the experience of the newly industrializing countries – of Latin America in the sixties and the seventies, say – the reason they were able to achieve a modicum of capitalist development was precisely because they had that room for manoeuvre. We believe that the WTO and similar bodies need to be weakened, if not eliminated entirely. Other international institutions, such as UNCTAD – the UN Conference on Trade and Development, which was performing reasonably well until the rug was pulled out from under it by the WTO – should be strengthened, as should regional organizations like MERCOSUR, which has the potential for being an effective, locally directed import-substitution bloc. Regional financial institutions need to be created, too. If the Asian Monetary Fund had existed in 1997 and '98 – when it was pushed by all the countries in the region – the course of the Asian financial crisis would have been different. Instead, the idea was killed off by Rubin and Summers, as a challenge to the hegemony of the IMF.

In world terms, then, we call for greater decentralization, greater pluralism, more checks and balances. In a less globalized order, grass-roots groups and popular movements would be in a stronger position to determine economic strategies. At the moment, local elites can always say, 'We have no choice but to follow this course – if we don't, the IMF or WTO will rule our policy protectionist'. Focus on the Global South is not against trade; well managed, an increase in imports and exports could be a good thing. But in the Third World the pendulum has swung so far in the direction of export-oriented production, that it does need to be corrected back towards the domestic market – the balance between the two has been lost in the drive to internationalize our economies. We can only do that if we structure trade not through WTO open-market rules but by practices that are negotiated among different parties, with varying interests. Deglobalization doesn't imply an uncritical acceptance of existing regional organizations. Some of them are merely outposts of the globalized economy, common markets controlled by local technocrats and industrial elites. Others could sustain a genuine regional development programme.

What would deglobalization mean for finance?

The deregulated character of global finance has been responsible for much of the instability that has rocked our economies since the late eighties. We definitely need capital controls, both at regional and local level. In different ways, the experiences of Malaysia, Chile and China have all shown their efficacy. What's required is an Asian monetary mechanism that would not only support countries whose currencies are under attack, but would also begin to furnish a basis for regional control. As to a world monetary authority, I am very sceptical of its viability as way of controlling global finance, since these centralized structures are now so permeable by the existing market powers, especially the big central banks. I don't think such an institution would provide an effective defence of the interests of Third World countries. I have never believed that access to foreign capital was the strategic factor in development, although it can be a supplementary one. In fact, our local elites – locked as they are into the existing international order – typically have tremendous reserves of capital. The problem is whether governments in the region have the ability to impose capital controls on them. The same goes for tax regimes, which in

South-East Asia are very retrograde. Of course, the wealth of these elites should be subject to proper taxation.

Land reform?

The distribution of land remains a central issue. One reason why export-oriented production could be pushed so successfully by the World Bank in the seventies, and had such strong support from local establishments and technocrats, was that the markets in developing countries were so limited, precisely because of highly unequal asset and income distributions. A focus on exports was seen by the elites as a way out of the trap of shrunken local markets – attaching your industrialization to the big market outside. It was a way to dodge the massive land reform needed to create – in Keynesian terms – the local purchasing power that could drive an indigenous process of industrialization. So agrarian reform is a necessity throughout Asia, as well as Latin America, for both social and economic reasons.

From Seattle onwards it's been clear that a critical fault line within the movement runs between those, essentially Northern, activists and organizations who group themselves around a combination of environmental and labour-rights issues – the position you've described as Green protectionism – and those in the South who see development in a much wider sense as the main priority. It would clearly be an illusion to think that these two perspectives could fit together easily. Yet if the movement is to develop, this tension has somehow to be negotiated and resolved.

The fault line is real, though I would point out that there are large areas of agreement between Northern and Southern movements – a shared critique of multinationals and global capital, a common perception that citizens need to play a stronger role in curbing the rules of the market and of trade. The fact that people from both tendencies can come together in coalitions and work on a range of points is testimony to the strength of these overlapping interests. However, I think the labour question has to be worked out. We were very critical of the way that trade unions in the US – and, to a great extent, in Europe, through the ICFIU – argued that the WTO would be strengthened if it took up tariffs and labour rights. In our view they should not be calling for a more powerful WTO. That's a very short-sighted response. Beneath the surface rhetoric about human rights in the South, this is essentially a protectionist movement, aimed at safeguarding Northern jobs. Whenever we raise this in a fraternal way, they get very defensive about it. We say, let's cut out the hypocrisy: of course we should fight for the jobs of workers in the North – but in a way that supports working-class movements everywhere; not so as to protect one section and leave the rest aside. We need to work out long-term strategies to respond to the way that capital is re-stratifying the working class throughout the world – a division in which hundreds of millions of rural workers get the short end of the stick. The dynamics of global capital are creating a vast underclass, with no support from Northern unions. This is where we need to focus our strategy, on a powerful, visionary effort to organize the world

working class. So far, the response from the North – especially from the trade unions – has been a very defensive one, hiding behind the mask of human rights. It makes us deeply uneasy when people from our countries, who have been strongly supportive of workers' rights and have actively opposed ecologically damaging development policies, are cast in these polemics as anti-environmentalist and anti-labour.

Market access is not the central problem, but it is *a* problem. There is a tendency in the North – though not all Green organizations fall into this – to use environmental standards as a way of banning goods from developing countries, either on the grounds of the product itself or because of the production methods. The result is a form of discrimination. We need to find a more positive solution to this. We've called for a global Marshall Plan – one in which environmental groups would actively participate – to upgrade production methods in the South and accelerate the transfer of Green technology. The focus should be on supporting indigenous Green organizations in developing countries and this sort of positive technological transfer, rather than on sanctions. Sanctions are so easy – they appeal to defensive, protectionist interests, which even some progressive organizations in the North have taken up. It's very unfortunate that the US labour movement has adopted this hypocritical stance, saying that it's really concerned about people in China, whereas in fact its objectives are quite egotistical. If we can get past this sort of pretence and establish a dialogue at the level of principles, on the interests of the global working class as a whole, we'll be moving forward.

How far do you regard the World Social Forum in Brazil as a representative arena in which these differences can be hammered out?

When the idea of a global forum was first broached, Focus was one of the organizations that immediately gave its full support. What the Brazilians were proposing was a safe space where people in the movement could come together to affirm their solidarity. This was a very important element of the first Social Forum in 2001. There was a strong sense of the need to talk about alternatives, after Seattle. I think there were real efforts to integrate people from Southern movements, both within the organizing structure and on the panels, although this might not have been successful everywhere. Vandana Shiva and others from the South were brought in from the start, not in a paternalistic way but so they could make genuine suggestions about who should be there. It's true that *Le Monde Diplomatique* and ATTAC played an important part in bringing it together, and the support of the PT state government was fairly crucial. But while ATTAC and *Le Monde Diplomatique* were still vital players in the second Forum, they had a much less central role. If anything, it has been the Brazilian NGOs, civil-society groups and the PT that have, not dominated, but been the moving force. One very positive thing they've done since the first Social Forum is to create an international committee, where regional-representation questions can be discussed. Most Third World participants are still Latin Americans, though, and there is a need to bring Africans and Asians into the process. [...]